MACROECONOMICS

MACRO-55

Time: 5 minutes

Outcome: Classify international asset purchases and trace interest-rate effects on NCO.

Difficulty: ●●○ Intermediate

Capital Flows and Net Capital Outflow

THE CORE IDEA

Net capital outflow equals domestic residents' purchases of foreign assets minus foreign residents' purchases of domestic assets. Positive NCO is net capital outflow; negative NCO is net capital inflow. Capital tends to move toward more attractive risk-adjusted returns. In the textbook model, a higher domestic real interest rate lowers NCO and therefore reduces the supply of dollars in the foreign-exchange market.

HOW TO RECOGNIZE IT

- A U.S. resident buying a foreign bond raises U.S. NCO.
- A foreign resident buying a U.S. asset lowers U.S. NCO.
- Higher domestic real returns attract inflow and discourage outflow, lowering NCO.
- NCO supplies dollars to the FX market as residents acquire foreign assets.

WATCH OUT

NCO and NX describe different transactions: assets versus goods and services. They are equal as an accounting relationship in the course model, not because every asset purchase is an export.

WORKED EXAMPLE: CLASSIFY, THEN NET

KEY RELATIONSHIPS

- NCO = domestic purchases of foreign assets
- - foreign purchases of domestic assets
- Positive NCO = net outflow
- Higher domestic real rate -> lower NCO
- In the course model: NCO = NX

U.S. residents buy $140 billion of foreign assets; foreigners buy $90 billion of U.S. assets. U.S. NCO is $140 - $90 = +$50 billion, a net outflow. That positive NCO supplies dollars in exchange for foreign currency and corresponds to NX of +$50 billion.

CHECK YOURSELF

Foreign purchases of U.S. assets rise while U.S. foreign-asset purchases are fixed. What happens to U.S. NCO?

READY? Return to the game and master this concept.